

1. Ancient man satisfied his needs by
- (A) depending entirely on others
 - (B) using his own initiatives
 - (C) buying what he wants
 - (D) trading with people of other lands
2. One of the following is NOT a function of money:
- (A) Measure of value
 - (B) Medium of exchange
 - (C) Indivisibility
 - (D) Store of value
3. Which of the following are the functions of a business unit?
- I. Production of goods and services
 - II. Creation of jobs
 - III. Maximization of sales
 - IV. Education of workers
- (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only
4. Which of the following types of business environment is most typical of the Commonwealth Caribbean area?
- (A) Corporate state
 - (B) Mixed economy
 - (C) Centrally planned
 - (D) Perfectly competitive
5. A system involving the exchange of goods depending on the 'double coincidence of wants' is known as
- (A) money
 - (B) barter
 - (C) specialization
 - (D) equal exchange
6. Private enterprise is run MAINLY to
- (A) create profit
 - (B) reduce inflation
 - (C) distribute goods and services fairly
 - (D) provide jobs for more people
7. John works in a bakery where he makes all the decisions and takes all the profits. What category of business is he working in?
- (A) Sole trader
 - (B) Partnership
 - (C) Co-operative
 - (D) Joint Stock Company
8. The MAIN purpose of installing a suggestion box in a company is to get workers' views about
- (A) other companies
 - (B) each other
 - (C) ways of improving the workplace
 - (D) ways of improving economic conditions
9. In a firm with a departmentalized structure, which department performs the four duties listed below?
- I. Receiving the goods purchased
 - II. Giving a report on the quality of goods received
 - III. Applying the principles involved in costing goods
 - IV. Keeping an inventory
- (A) Finance
 - (B) Purchasing
 - (C) Stock control
 - (D) Marketing

- 3 -

10. MIS stands for
- (A) Management Induction Systems
 - (B) Management Information Systems
 - (C) Manufacturing Indication Systems
 - (D) Manufacturing Instructional Systems
11. Which of the following is NOT a responsibility of management to employees?
- (A) Providing adequate working facilities
 - (B) Producing goods at reasonable prices
 - (C) Maintaining good communication
 - (D) Providing training
12. The manager of ABC company has embarked upon sponsoring a school cricket team in a Caribbean territory. Which responsibility is the company fulfilling?
- (A) Its obligation to maximise surpluses
 - (B) Its obligation to customers
 - (C) Its economic obligation
 - (D) Its social obligation
13. "The leader deliberately stands back and lets the subordinates plan their own work and make their own decisions as far as possible."
- Which word BEST describes the type of administration referred to in the above statement?
- (A) Participative
 - (B) Laissez-Faire
 - (C) Democratic
 - (D) Authoritarian
14. Which of the following policies adopted by management is MOST LIKELY to ensure worker morale?
- (A) Employees should take part in decision-making on an ongoing basis since every employee has duties and responsibilities.
 - (B) Supervisors should make decisions when they have been directed to do so by the general manager.
 - (C) The general manager should make all the decisions because he is responsible for the performance of all employees.
 - (D) Decisions made by the top manager and his advisers must be carried out by employees as directed to ensure that there will be no break down in work procedure.
15. The MAIN function of the trade union is to
- (A) prevent workers from being dismissed
 - (B) increase union leaders' popularity
 - (C) protect workers' rights
 - (D) train workers to be leaders
16. Which of the following describes an essential feature of a valid contract?
- (A) The offer has been communicated to the offeree.
 - (B) A counter offer has been made by the offeree to the offeror.
 - (C) The offer is made in writing by the offeror.
 - (D) The offer has been accepted by the offeree either in writing or orally.

17. In a recent conversation Ann asked Betty the price at which she would sell a book. Betty replied that she would sell it for \$5.00. The conversation constituted
- (A) a contract between the parties
 - (B) an offer from Betty to sell the book for \$5.00 to Ann
 - (C) the sale of the book \$5.00
 - (D) an enquiry and statement of the selling price of the book
18. Felix Ward was offering his car for sale at \$15 000. His friend, Frank Moore, stated that he wanted the car and would pay \$12 000.
- This situation describes a
- (A) contract
 - (B) statement of intention
 - (C) counter-offer
 - (D) misrepresentation
19. The money used for the day-to-day operations of a business is called
- (A) fixed capital
 - (B) nominal capital
 - (C) floating capital
 - (D) working capital
20. What is the MOST LIKELY effect on a developing economy when professional and skilled labour migrate to developed countries?
- (A) Unskilled labourers can demand higher wages.
 - (B) The demand for skilled labour and professional services will decrease.
 - (C) Unskilled labourers can work harder.
 - (D) Production levels of goods and services will decrease.
21. Which of the following is a fixed asset for a business?
- (A) Bicycle for private use
 - (B) Washing machine for resale
 - (C) Motor car for family use
 - (D) Motor lorry for delivery of goods
22. Which of the following are examples of service industries?
- (A) Agriculture and construction
 - (B) Banking and tourism
 - (C) Manufacturing and fishing
 - (D) Mining and transportation
23. Primary production is concerned with the
- (A) distribution of goods
 - (B) providing goods to meet essential needs
 - (C) provision of raw materials
 - (D) manufacture of goods
24. Which of the following are classified as primary industries?
- I. Farming
 - II. Services (direct and commercial)
 - III. Manufacturing
 - IV. Mining
- (A) I and II only
 - (B) I and IV only
 - (C) II and IV only
 - (D) I, II, III and IV
25. Which of the following is an example of extractive production?
- (A) Agriculture
 - (B) Communication
 - (C) Manufacturing
 - (D) Tourism

- 5 -

26. Which of the following productive activities is LEAST likely to be conducted on a large scale in the Caribbean region?
- (A) Packaging
 - (B) Mining
 - (C) Whaling
 - (D) Building
27. Which one of the following activities can be BEST carried out as a cottage industry?
- (A) Smelting of iron ore
 - (B) Manufacturing of leather sandals
 - (C) Refining of petroleum
 - (D) Canning of pigeon peas
28. Which of the following conditions would constitute a linkage between two industries?
- (A) The output of one industry of the economy becomes the input of another industry.
 - (B) Two firms manufacture similar goods.
 - (C) Two firms are responsible for the manufacture of different kinds of goods.
 - (D) One firm shares the use of machinery with another firm.
29. 'Mass production' refers to which of the following?
- (A) A nation's annual output of goods
 - (B) Goods used to produce other goods
 - (C) Goods produced by nature
 - (D) Goods produced in large quantities
30. In which of the following situations would the individual named have limited liability?
- (A) Tom who has 200 shares in a company that produces beer
 - (B) Alfred who is running a business of his own
 - (C) Mary who is carrying on a hairdressing shop jointly with her sister
 - (D) Lucy who owns a private secretarial school
31. Which of the following describes capital-intensive industry?
- (A) Capital and labour in the same proportion
 - (B) Large amounts of labour and very little capital
 - (C) All capital and no labour
 - (D) Large amounts of capital and very little labour
32. Which of the following documents gives the name of the ship and full particulars of the shipment of goods?
- (A) Bill of Sale
 - (B) Bill of Lading
 - (C) Way Bill
 - (D) Broker's Bill
33. A machine whose cash price is \$700 was bought on hire purchase for \$784. The cost of credit was
- (A) \$ 12
 - (B) \$ 84
 - (C) \$700
 - (D) \$784
34. In which of the following types of trade can the hire purchase method of buying be used?
- (A) Wholesale trade
 - (B) Import trade
 - (C) Foreign trade
 - (D) Retail trade
35. A person who handles goods in the intermediate stage between the producer and the retailer is referred to as a
- (A) businessman
 - (B) wholesaler
 - (C) sole trader
 - (D) commission agent

36. Which of the following is NOT a function of the retailer?
- (A) Transporting goods to suitable storage facilities
 - (E) Providing a local supply of goods
 - (C) Preparing goods for resale
 - (D) Selling in small quantities
37. Which of the following documents would have been used by a ship owner who agreed, for a sum of money, to provide a ship to carry a shipment of cargo from one port to another?
- (A) Import licence
 - (B) Bill of lading
 - (C) Charter party
 - (D) Airway bill
38. A post-dated cheque is one which
- (A) was written no longer than six months ago
 - (B) is dated by the businessman to agree with the date of the document requesting payment
 - (C) is dated by the bank dates on the day the cheque is presented for payment
 - (D) is dated for payment at a future date

Below is an illustration of a cheque which has been returned by the bank as being dishonoured.

<u>4th June 1987</u>	<u>4th June 1987</u>
	ABC Bank High Street Lowtown
	Pay <u>Joe Brown</u> on order
	Seventy dollars $\frac{00}{xx}$ \$170.00
<u>\$170.00</u>	<u>K Jones</u>

39. Which of the following BEST suggests the bank's reason for dishonouring it?
- (A) The counterfoil has not been detached.
 - (B) The counterfoil has not been completely filled out.
 - (C) The amount in words and the amount in figures do not agree.
 - (D) The signature is not legible.

40. Which of the following is the quickest method of payment for a businessman who is 20 000 kilometres away?
- (A) Cash
(B) Cheque
(C) Postal Order
(D) Telegraphic money order
41. The bank service which allows a customer to make payments by cheques is the
- (A) current account
(B) savings account
(C) deposit account
(D) capital account
42. One of the major functions of a central bank is to
- (A) issue notes and coins
(B) accept deposit accounts
(C) make loans and advances
(D) issue stocks and shares
43. Which of the following CANNOT be used as collateral for obtaining a loan from a financial institution?
- (A) A mortgaged home with insurance coverage
(B) An insurance policy with a cash value
(C) An amount in a fixed deposit account
(D) Wife's/husband's legally owned property not covered by insurance
44. Which of the following types of insurance is a government likely to require each employed individual to pay?
- (A) Liability insurance
(B) National insurance
(C) Life insurance
(D) Car insurance
45. When the government deducts part of the workers' weekly or monthly salaries, the tax is called
- (A) income tax
(B) corporation tax
(C) capital gains tax
(D) value added tax
46. Which of the following forms of taxation could be classified as 'direct'?
- (A) Customs duty
(B) Income Tax
(C) Purchase Tax
(D) Excise duty
47. Which of the following BEST assists persons in satisfying their basic needs?
- (A) Money
(B) Recreation
(C) Travel
(D) Education
48. When the demand for a commodity decreases and the supply increases the price should
- (A) increase
(B) decrease
(C) remain constant
(D) exceed cost
49. If there is a scarcity of supply in potatoes and many people want to buy, the price is likely to be
- (A) inequilibrium
(B) variable
(C) low
(D) high

50. Barry decided to start his own clothing store. He is happy working for himself because
- (A) of the long hours he has to put in
 - (B) any decision he makes can be put into practice immediately
 - (C) he wants to wear brand name clothes
 - (D) he wants to meet many people
51. Which of the following measures must a country adopt to correct adverse Balance of Payment problems?
- I. Tariffs
 - II. Quotas
 - III. Devaluation
 - IV. Revaluation
- (A) I and II only
 - (B) II and III only
 - (C) I, III and IV only
 - (D) I, II and III only
52. When there is competition, the price of an article will depend on the
- (A) relationship between its demand and supply
 - (B) change in the cost of living
 - (C) amount of money circulating in the country
 - (D) changes in the value of money
53. Which of the following practices would NOT contribute to the economic development and growth of a community?
- (A) Increased use of the country's natural resources
 - (B) Increased importation of consumer goods
 - (C) Provision of loans and technical assistance for establishing local businesses
 - (D) Provision of more infrastructure within the country
54. Which of the following is NOT a benefit of international trade?
- (A) A greater variety of goods is obtained from overseas.
 - (B) Political links are developed with other countries.
 - (C) Import restrictions can be imposed on foreign items.
 - (D) Producers are able to increase their market size.
55. A country has a favourable balance of trade when
- (A) it sells more than it buys
 - (B) it buys more than it sells
 - (C) there are no restrictions to trade
 - (D) imported goods are cheaper
56. In trading, a licence involves having
- (A) a specific number of goods to be sold
 - (B) permission to bring in goods
 - (C) money to be paid in foreign goods
 - (D) a ban on goods coming in to be sold
57. To correct an adverse balance of payments position, a government may
- (A) reduce income tax
 - (B) increase the money supply
 - (C) reduce credit
 - (D) increase exports
58. Which of the countries listed below are NOT full members of Caricom?
- (A) Barbados, Jamaica, Trinidad and Tobago
 - (B) Antigua, St. Lucia, St. Vincent
 - (C) Bahamas, Haiti, Surinam
 - (D) Dominica, Grenada, Guyana

59. Which of the following types of business environment is most typical of the Commonwealth Caribbean area?
- (A) Corporate state
 - (B) Mixed economy
 - (C) Centrally planned
 - (D) Perfectly competitive
60. A nationalized industry is owned and controlled by
- (A) local businessmen
 - (B) the Government
 - (C) the Chamber of Commerce
 - (D) the workers of the firm

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.